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ACT/26/12/12(5)

Mr Eddie Webster
Clerk to the National Assembly
National Assembly Building
Belmopan

1st October 2012

Dear Sir,

I write with reference to your memorandum NAG/4/12(19) of the 1st October 2012.

Please be advised that the Governor-General has assented to and signed the “Sugar Industry and Cogeneration Project (Development Incentives) Bill, 2012” on the 1st October 2012.

Sincerely,

A handwritten signature in blue ink, appearing to read 'Amelia M Poornananda JP'.

Amelia M Poornananda JP
Administrative Officer
Office of the Governor-General

cc: Legal Advisor
Ministry of Finance
Sir Edney Cain Building
Belmopan



No. of 2012

I assent,

[Signature]
Governor-General

1st October, 2012

AN ACT to provide for certain exemptions from taxes and duties to attract new capital investment into the sugar industry; to make revised and improved provisions for the continued development of the Belcogen Cogeneration Project; and to provide for matters connected therewith or incidental thereto.

(Gazetted.....2012).

WHEREAS, the sugar industry plays a pivotal role in the economy and well-being of Belize;

AND WHEREAS, as a result of global economic recession, the Belize sugar industry has lately experienced

severe financial difficulties, threatening the livelihood of a large section of Belizeans;

AND WHEREAS, it is necessary to provide for certain exemptions from taxes and duties to attract new capital investment to rescue and rehabilitate the sugar industry, as well as to assure the continued development of the cogeneration energy project:

NOW, THEREFORE, BE IT ENACTED, by and with the advice and consent of the House of Representatives and the Senate of Belize and by the authority of the same, as follows: --

Short title.

1. This Act may be cited as the

**SUGAR INDUSTRY AND COGENERATION
PROJECT (DEVELOPMENT INCENTIVES)
ACT, 2012,**

Interpretation.

2. In this Act, unless the context otherwise requires –

“**ASR**” means American Sugar Refining, Inc., a Delaware corporation and any of its subsidiaries or affiliates;

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“**Belcogen**” means Belize Cogeneration Energy Limited, a company incorporated and registered under the Companies Act, with its registered office at Tower Hill, Orange Walk District, Belize;

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“**BSI**” means Belize Sugar Industries Limited, a company incorporated and registered under the Companies Act, with its registered office at Tower Hill, Orange Walk District, Belize;

“**Project**” means the biomass co-generation energy project located adjacent to the BSI Tower Hill Sugar Factory situate

in the Orange Walk District, including all infrastructure for, or connected with, the operation of the project.

3. (1) BSI and Belcogen shall be exempt from income and business tax as follows:

(a) total exemption for the period from 1st January 2008 to 31 December 2012;	Exemption from income and business tax and withholding tax.
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(b) partial exemption as follows:

(i) from 1st January 2013 to 31 December 2013, BSI and Belcogen shall be exempt from 80% of income and business tax;

(ii) from 1st January 2014 to 31 December 2014, BSI and Belcogen shall be exempt from 60% of income and business tax;

(iii) from 1st January 2015 to 31 December 2015, BSI and Belcogen shall be exempt from 40% of income and business tax;

(iv) from 1st January 2016 to 31 December 2016, BSI and Belcogen shall be exempt from 20% of income and business tax.

(2) After the expiry of the period mentioned in subsection (1)(b)(iv) above, BSI and Belcogen shall be liable to pay all income and business tax as provided in the Income and Business Tax Act.

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(3) BSI and Belcogen shall be exempt from withholding tax as follows:

(a) on **dividends** – for a period of five (5) years with effect from 1st September 2012;

(b) on **payments for technical services** – for a period of five (5) years with effect from 1st September 2012;

(c) on **interest payments to non-residents of Belize** – for a period of ten (10) years with effect from 1st September 2012.

Exemption from customs and excise duties.

4. BSI and Belcogen shall be exempt from customs and excise duties for a period of ten (10) years with effect from 1st September 2012.

Exemption from environmental tax.

5. BSI and Belcogen shall be exempt from environmental tax for a period of ten (10) years with effect from 1st September 2012.

Partial exemption from stamp duties.

6. There shall be granted an exemption of 50% of stamp duty payable on the cancellation or assignment of existing security documents and other instruments necessary to give effect to the acquisition of the shareholding in BSI by ASR or its affiliated companies.

Exemption from exchange control.

7. BSI and Belcogen shall be exempt from all exchange control restrictions for a period of ten (10) years with effect from 1st September 2012.

Exemption from export restrictions. Act No. 27/2001.

8. Notwithstanding anything contained in the Sugar Industry Act or any other law, but subject to the satisfaction of local market demands, BSI shall have the unrestricted right to export raw sugar and molasses for a period of ten (10) years with effect from 1st September, 2012.

Extent of exemptions.

9. The exemptions from taxes and duties and other restrictions granted to BSI and Belcogen by sections 3, 4, 5, 6, 7 and 8 of this Act shall apply only to such activities of BSI and Belcogen, as relate to the sugar industry or the cogeneration energy project.

10. This Act shall take effect retrospectively from 1 st January 2008.	Commencement.
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11. The Belcogen Cogeneration Project Act, 2005, is hereby repealed.	Repeal of Act No. 43 of 2005.
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